

INSURANCE AND PENSIONS COMMISSION



REPORT FOR LIFE ASSURERS

FOR THE HALF YEAR ENDED 30 JUNE 2016

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPW	Net Premium Written
GPI	Gross Premium Income
Mgt	Management
IPEC/Commission	Insurance and Pension Commission
Mar 15	March 2015
Mar 16	March 2016
Ann	Annuities
Term	Term Assurance
Endow	endowment
Pure End	Pure Endowment
Whole Lif	Whole Life
Fund	Pension fund business

NOTE: ALL MONETARY FIGURES ARE IN USD

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2.0 Industry Overview

The report covers 11 life assurance companies and 3 reinsurance companies. Life companies wrote \$177million in net premiums (June 2015: \$158million), resulting in a 13% year-on-year growth rate. Total costs grew substantially by 29% from \$109million to \$140million fueled by claims. Resultantly the industry's combined ratio grew by 10% to 79% and a technical profit of \$37million was reported (June 2015: 49million).

As at the current reporting period, total industry assets shed 7% from \$1.598billion reported previously to \$1.488 billion as a result of challenging investment climate. Total liabilities fell from \$1.323billion to \$1,255billion. Free assets were thus \$233million (June 2015: \$275million).

Table 1, below summarizes the aggregated financial indicators of the life assurance industry.

Table 1: Financial Performance Indicators for Life Companies for the half year ended 30 June 2016

Item	Life Assurers			Life Reassurers			TOTALS		
	June 2015	June 2016	Growth	June 2015	June 2016	Growth	June 2015	June 2016	Growth
GPW (\$000)	156,603	176,248	13%	5,144	4,148	-19%	161,747	180,396	12%
NPW (\$000)	153,712	173,331	13%	4,383	3,532	-20%	158,095	176,863	12%
Total Net Claims (\$000)	67,439	99,639	47%	1,714	1,834	7%	69,153	101,473	47%
Mgt Expenses (\$000)	30,119	27,854	-8%	714	770	8%	30,833	28,624	-7%
Commissions (\$000)	7,353	7,498	7%	1,299	794	-39%	8,652	8,292	-4%
Total Costs (\$000)	105,051	136,745	30%	3,727	3,398	-9%	108,778	140,143	29%
Technical Profit	48,661	36,586	-25%	656	134	-80%	49,317	36,720	-26%
Expense Ratio (%)	24%	20%	-4%	30%	44%	14%	25%	21%	-4%
Claims Ratio	44%	57%	13%	39%	52%	13%	44%	57%	13%
Combined Ratio	69%	79%	10%	85%	96%	11%	69%	79%	10%
Total Assets (\$000)	1,583,533	1,452,496	-3%	14,714	35,055	138%	1,598,247	1,487,551	-7%
Current Assets	352,531	314,231	-11%	5,952	22,991	286%	358,483	337,222	-6%
Current Liabilities	118,351	119,491	1%	2,376	15,519	553%	120,727	135,010	12%
Total Liabilities (\$000)	1,315,480	1,238,922	-6%	7,532	15,758	109%	1,323,012	1,254,680	-5%
Free Capital (\$000)	268,055	213,573	-20%	7,182	19,397	170%	275,237	232,970	-15%
Liquidity/Current Ratio	298%	263%	-35%	151%	148%	-3%	297%	250%	-47%
Capital to liability Ratio	20%	17%	-3%	95%	123%	28%	21%	19%	-3%
Prescribed Asset Ratio	3%	14%	11%	3%	4%	1%	3%	14%	11%

SECTION A: LIFE ASSURANCE COMPANIES

3.0 Update on Number of Operational Institutions

This report is centered on 11 life assurers. Altfin Life Assurance Company is under liquidation.

4.0 Net Premium Written

For the period under review, the life assurance industry reportedly wrote \$173 million in net premiums from \$154million realized previously, a 13% growth rate. The growth was fed by fund business and group life assurance income streams (See Table 2, below).

Table 2: Net Premium Written Distribution by Company for the half year ended 30 June 2016

Name of Company	NPW (USD 000)		Growth
	Jun-15	Jun-16	Annual
Altfin	*	*	-
Econet	1,533	2,363	54%
Cbz	7,070	4,493	-36%
Evolution	512	305	40%
Fidelity	7,470	7,658	0%
Getsure	0	414	-
FML	15,365	18,182	18%
Heritage	763	1,153	51%
Nyaradzo	36,382	39,492	9%
Old Mutual	72,170	86,120	19%
Zb Life	4,768	4,672	2%
Zimnat	7,679	8,479	10%
TOTAL	153,712	173,331	13%

5.0 Market Share for Life Assurance Companies

For the current review period, business continued to be concentrated around the three biggest insurers who wrote \$144million or 83% of net premium written (June 2015: \$124 million or 81%). (See Figure 1, below).

Figure 1: Market share by company for the half year ended 30 June 2016

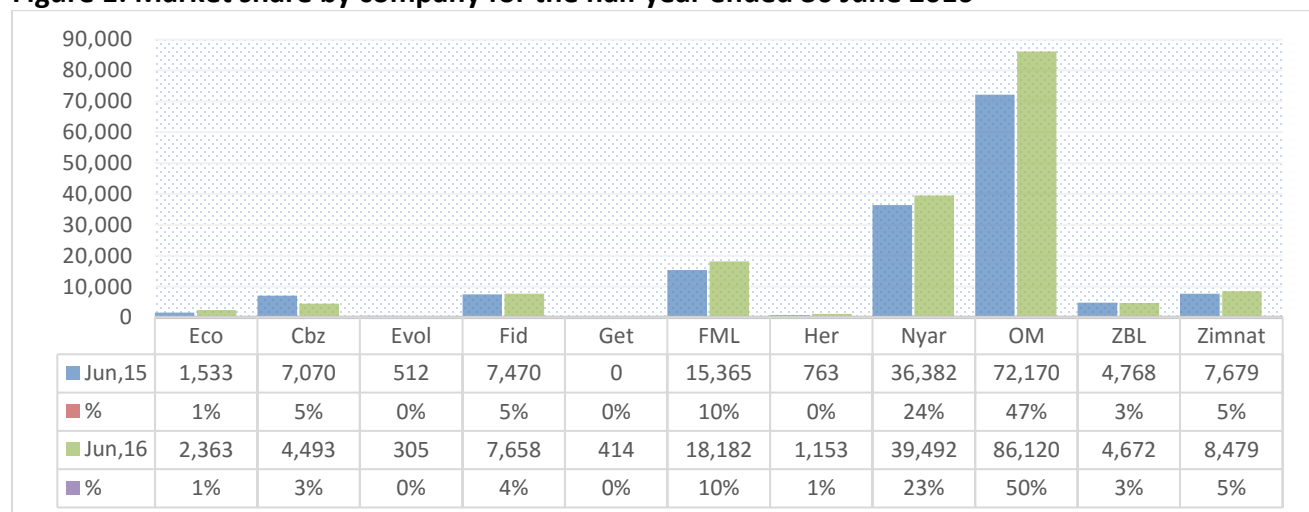
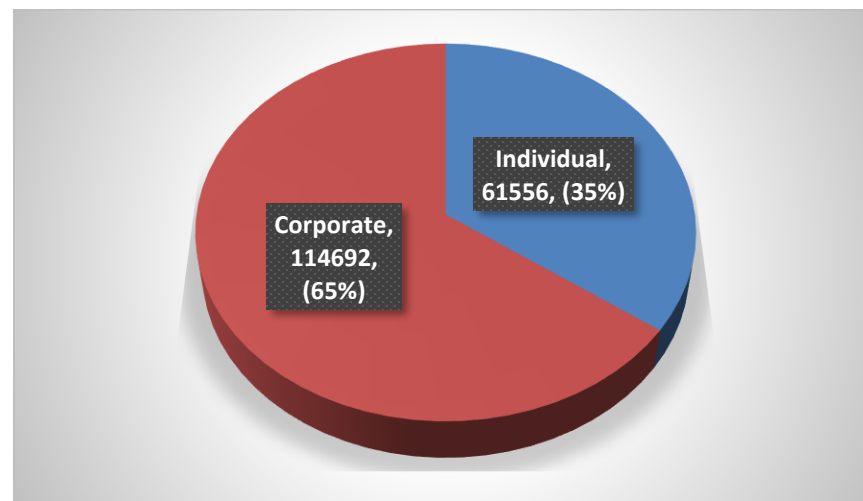
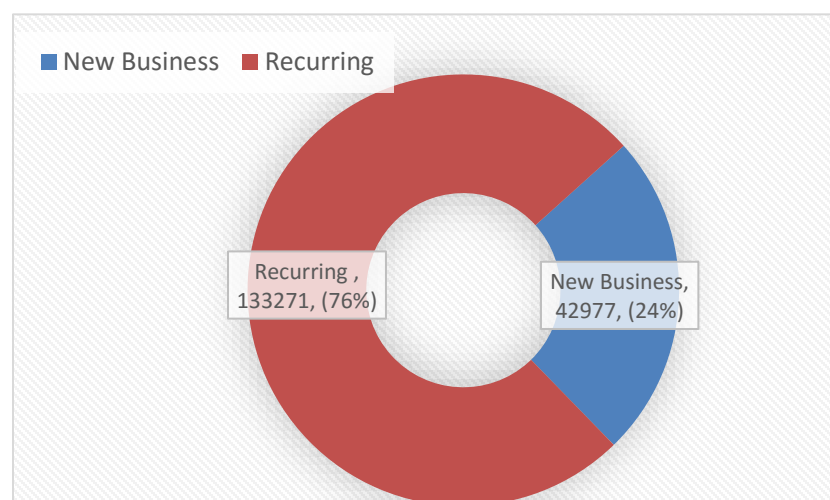


Table3: Business composition

	Individual						Corporate						Total Gross Premium		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%
CBZ Life	0	179	0%	4,460	3,266	-27%	0	308	0%	3,054	1,142	-63%	7,514	4,895	-35%
Econet	940	1,442	53%	737	1,138	54%	0	0	0%	0	0	0%	1,677	2,580	54%
Evolution	82	18	-78%	430	289	-33%	0	0	0%	0	0	0%	512	307	-40%
Fidelity	408	37	-91%	3,157	2,297	-27%	0	0	0%	4,133	5,556	34%	7,698	7,890	2%
Getsure	0	206	0%	0	128	0%	0	6	0%	0	81	0%	0	421	0%
FML	701	670	-4%	7,513	7,831	4%	2,956	1	-100%	4,424	9,888	124%	15,594	18,390	18%
Heritage	0	22	0%	695	1,130	63%	88	0	-100%	0	10	0%	783	1,162	48%
Nyaradzo	683	543	-20%	24,728	27,314	10%	66	186	182%	10,905	11,449	5%	36,382	39,492	9%
O Mutual	3,175	4,399	39%	5,966	5,278	-12%	24,054	33,051	37%	40,259	44,541	11%	73,454	87,269	19%
Zb Life	661	87	-87%	1,396	2,272	63%	153	160	5%	2,755	2,354	-15%	4,965	4,873	-2%
Zimnat	566	758	34%	1,351	2,252	67%	445	904	103%	5,662	5,055	-11%	8,024	8,969	12%
TOTAL	7,216	8,361	16%	50,433	53,195	5%	27,762	34,616	25%	71,192	80,076	12%	156,603	176,248	13%

Figure 2: Business Composition for the half year ended 30 June 2016 (\$'000)



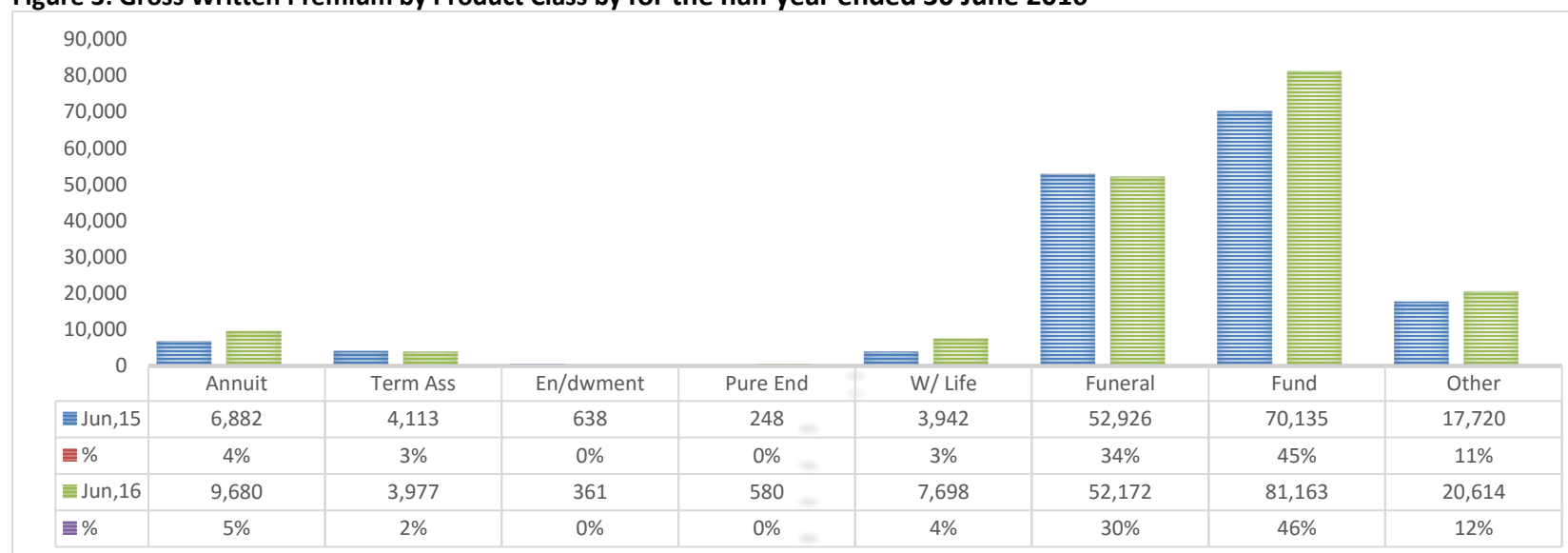
5.2 Business Composition by Product Class

Fund business, funeral, group life assurance and other policies constituted 88% of gross written business (June 2015:89%). This suggests weak financial capacity and awareness of other product lines. The spectrum of products continued to be traditional middle -to-top class products which may not be readily affordable to the general policyholder especially the informal traders. We continue to view the informal sector as largely unserved and as such continue to encourage product innovation biased towards this sector (See Table 4 and Figure 3).

Table4: Written Business Classes by Company for the half year ended 30 June 2016

Co. Name	Annuities			Term Assurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			OTHER/GLA			Total		
	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%
CBZ Life	0	0	0	3,054	1,956	-36	0	15	0	0	0	0	0	61	0	4,460	2,866	-36	0	0	0	0	0	0	7,514	4,898	-35
Econet	0	0	0	0	0	0	0	-	0	0	0	0	0	0	0	1,677	2,580	54	0	0	0	0	0	0	1,677	2,580	54
Evolution	0	0	0	0	0	0	0	-	0	0	0	0	0	0	0	512	307	-40	0	0	0	0	0	0	512	307	-40
Fidelity	52	9	-83	28	57	104	230	164	-29	101	123	22	165	121	-27	1,259	415	-67	1,419	1,241	-13	4,444	5,760	30	7,698	7,890	2
Getsure	0	0	0	0	286	0	0	-	0	0	0	0	0	0	0	-	48	0	0	0	0	0	0	0	-	421	0
FML	2,224	4,760	114	976	1,677	72	118	152	29	0	427	0	424	3,720	777	4,238	1,256	-70	6,518	5,036	-23	1,097	1,362	24	15,594	18,390	18
Heritage	13	4	-69	0	0	0	0	0	0	0	0	0	1	0	-100	769	1,149	49	0	0	0	0	0	0	783	1,153	47
Nyarardzo	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	36,382	39,492	9	0	0	0	0	0	0	36,382	39,492	9
O. Mutual	4,293	4,605	7	0	0	0	0	0	0	0	0	0	2,958	3,216	9	2,104	2,111	0	53,958	66,092	22	10,141	11,244	11	73,454	87,268	19
Zb Life	8	3	-63	28	1	-96	290	30	-90	147	30	-80	4	28	600	185	25	-86	4,303	4,760	11	0	0	0	4,965	4,873	-2
Zimnat	292	299	2	27	0	0	0	0	0	0	0	0	390	552	42	1,340	1,923	44	3,937	4,034	2	2,038	2,161	6	8,024	8,969	12
Total	6,882	9,680	41	4,113	3,977	-3	638	361	-43	248	580	134	3,942	7,698	95	52,926	52,172	-1	70,135	81,163	16	17,720	20,614	16	156,603	176,241	13%

Figure 3: Gross Written Premium by Product Class by for the half year ended 30 June 2016



5.2.1 Not-taken Up and Lapsed Policies

The industry reported modest lapse ratios of up to 19% with respect to individual lines business and not taken up policies amounting to \$30 000 (See Table 5, below). This could be an indicator for liquidity challenges

Table 5: Lapsed Policies for the half year ended 30 June 2016

Co. Name	Not taken up policies \$(000)		Lapse Ratios (%)	
	Individual	Group Business	Individual	Group Business
CBZ Life	0	0	4%	0
Evolution	0	0	0	0
Econet	0	0	0	0
Fidelity	0	0	0	0
Getsure	4	0	1%	1%
FML	0	0	19%	0
Heritage	0	0	0	0
Nyaradzo	0	0	13%	3%
O Mutual	19	0	9%	0
Zb Life	7	0	14%	0
Zimnat	0	0	6%	0
TOTAL	30	0	N/A	N/A

6.0 Claims Analysis

For the half year ended 30 June 2016, life companies paid \$100 million in net claims (June 2015: \$66million), a 47% year- on- year growth rate compared to a 13% growth in premium income streams.

The industry generally reported timeous settlement of claims (See Table 7 and Figure 4, below). However, players must be cautious in order to manage fraudulent cases pursuant to recent press reports for Old Mutual and First Mutual among others.

Table 6: Claims Categories by Company for the half year ended 30 June 2016(\$000)

Co. Name	Death			Maturity			Disability			Surrenders			Annuities			Reinsurance			Total Net Claims		
	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	(%)	Jun-15	Jun-16	(%)	Jun-15	Jun-16	(%)	Jun-15	Jun-16	(%)	Jun-15	Jun-16	(%)
CBZ Life	871	1,855	113	103	0	-100	0	132	0	323	0	0	0	0	0	0	372	0	1,297	1,615	25
Econet	161	1,049	549	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	161	1,049	552
Evolution	0	46	0	48	0	-100	0	0	0	0	0	0	0	0	0	0	0	0	48	46	-4
Fidelity	706	540	-24	0	1,220	0	0	0	0	21	364	781	121	301	149	14	0	0	835	2,246	169
Getsure	0	25	0	0	0	0	0	0	0	0	5	0	0	0	0	0	0	0	0	30	0
FML	2,041	2,015	-1	1,321	1,819	38	0	0	0	1,518	3,447	127	885	1,331	50	0	5	0	5,766	8,607	49
Heritage	123	179	46	4	0	-100	0	0	0	17	49	188	0	0	0	0	0	0	144	228	58
Nyaradzo	9,387	9,629	3	0	0	0	0	0	0	0	0	0	0	0	0	0	0	0	9,387	9,629	3
O.Mutual	5,395	8,743	62	13,634	25,715	89	55	340	518	19,567	28,574	46	6,717	7,332	9	359	942	162	45,010	69,941	55
Zb Life	811	1,073	32	75	67	-11	0	0	0	1,272	1,131	-11	0	0	0	25	0	0	2,133	2,271	6
Zimnat	1,163	1,206	4	1,588	2,747	73	0	0	0	94	73	-22	0	0	0	47	49	0	2,798	3,977	42
Total	20,658	26,360	28	16,773	31,568	88	55	472	758	22,812	33,643	47	7,723	8,964	16	445	1,368	207	67,439	99,639	47

Table7: Claims Aged Analysis by Company for the half year ended 30 June 2016 (\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
CBZ Life	11	0	0	0	8	19
Evolution	3	2	1	0	0	6
Econet	0	0	0	0	0	0
Fidelity	411	41	8	0	0	460
Getsure	9	0	0	0	0	9
FML	197	77	102	201	586	1,163
Heritage	0	0	0	0	0	0
Nyaradzo	0	0	0	0	0	0
O. Mutual	603	0	0	0	0	603
Zb Life	311	15	48	36	352	762
Zimnat	0	0	0	0	0	0
Total	1,545	135	159	237	946	3,022

8.0 Debtors Aged Analysis

For the half-year period ended 30 June 2016, players reported premium debtors amounting to \$7million against a gross premium written of \$176million implying an average premium collection rate of 96% (See Table 8, below).

Table 8: Debtors Aged Analysis by Company for the half year ended 30 June 2016 (\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
CBZ Life	254	151	34	28	0	467
Econet	0	0	0	0	0	0
Evolution	6	5	6	6	114	137
Fidelity	285	126	108	0	2,664	3,183
Getsure	31	0	0	0	0	31
FML	531	92	133	0	0	756
Heritage	153	123	121	136	0	533
Nyaradzo	2,335	0	0	0	0	2,335
O. Mutual	3	0	0	36	0	39
Zb Life	0	0	0	0	0	0
Zimnat	0	0	0	0	0	0
Total	3,598	497	402	206	2,778	7,481

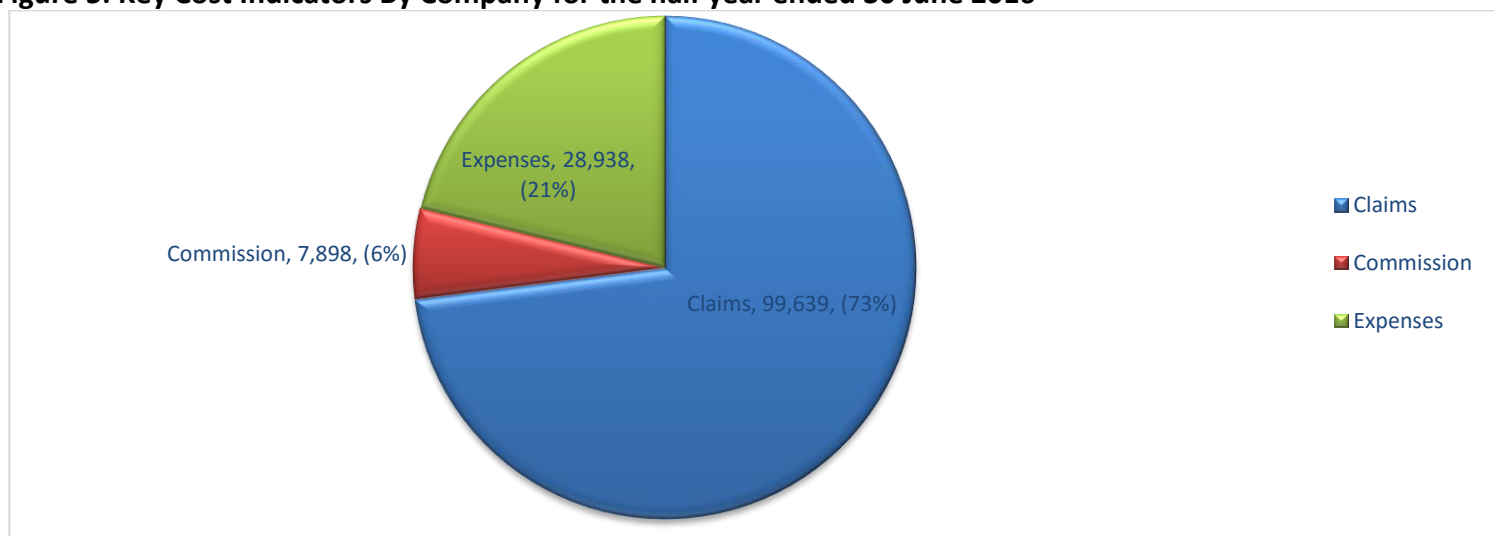
9.0 Earnings

For the current reporting period, operational costs accounted for 21% or \$29million of total costs (June 2015:29 % or \$30million), claims-73% or \$100million (June 2015: 64% or \$67million) whilst commission costs made up the balance of 6% or \$8million (June 2015:7% or \$7million). Resultantly, the combined ratio spiked from 69% in 2015 to the current 78% mainly due to the ballooning claims bill (SeeTable9 and figure 5, below).

Table 9: Key Income and Cost Indicators By Company for the half year ended 30 June 2016 (000)

Co. Name	NPW (\$000)		Claims (\$000)			Commissions (\$000)			Mgt Expenses (\$000)			Total Costs (\$000)			Combined Ratio		
	Jun-15	Jun-16	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	Growth	Jun-15	Jun-16	%
CBZ Life	7,070	4,493	1,297	1,615	25%	918	643	-30%	1,641	1,676	2%	3,856	3,934	2%	55%	88%	33%
Econet	1,533	2,663	161	1,049	552%	0	35	0%	74	1,085	-99%	235	2,169	823%	15%	81%	66%
Evolution	512	305	48	46	-4%	71	177	149%	241	56	-77%	360	279	-23%	70%	91%	21%
Fidelity	7,470	7,658	835	2,246	169%	106	224	111%	2,711	2,777	2%	3,652	5,247	44%	49%	66%	17%
Getsure	0	414	-	30	0%	-	68	0%	0	304	0%	0	402	0%	0	97%	0
FML	15,365	18,182	5,766	8,607	49%	774	784	1%	8,428	4,819	-43%	14,968	14,210	-5%	97%	78%	-20%
Heritage	764	1,153	144	228	58%	68	103	51%	596	675	13%	808	1,006	25%	106%	87%	19%
Nyaradzo	36,382	39,492	9,387	9,629	3%	3,032	3,360	11%	5,457	5,924	9%	17,876	18,913	6%	49%	48%	-1%
O.Mutual	72,170	86,120	45,010	69,941	55%	1,107	1,087	-2%	7,590	7,927	4%	53,707	78,955	47%	74%	92%	18%
Zb Life	4,768	4,672	2,133	2,271	6%	701	730	4%	1,660	1,624	-2%	4,494	4,625	3%	94%	99%	5%
Zimnat	7,679	8,479	2,798	3,977	42%	576	687	19%	1,721	2,071	20%	5,095	6,735	32%	66%	79%	13%
Total	153,713	173,631	67,439	99,639	47%	7,353	7,898	7%	30,119	28,938	-8%	105,051	136,475	29%	69%	78%	9%

Figure 5: Key Cost Indicators By Company for the half year ended 30 June 2016



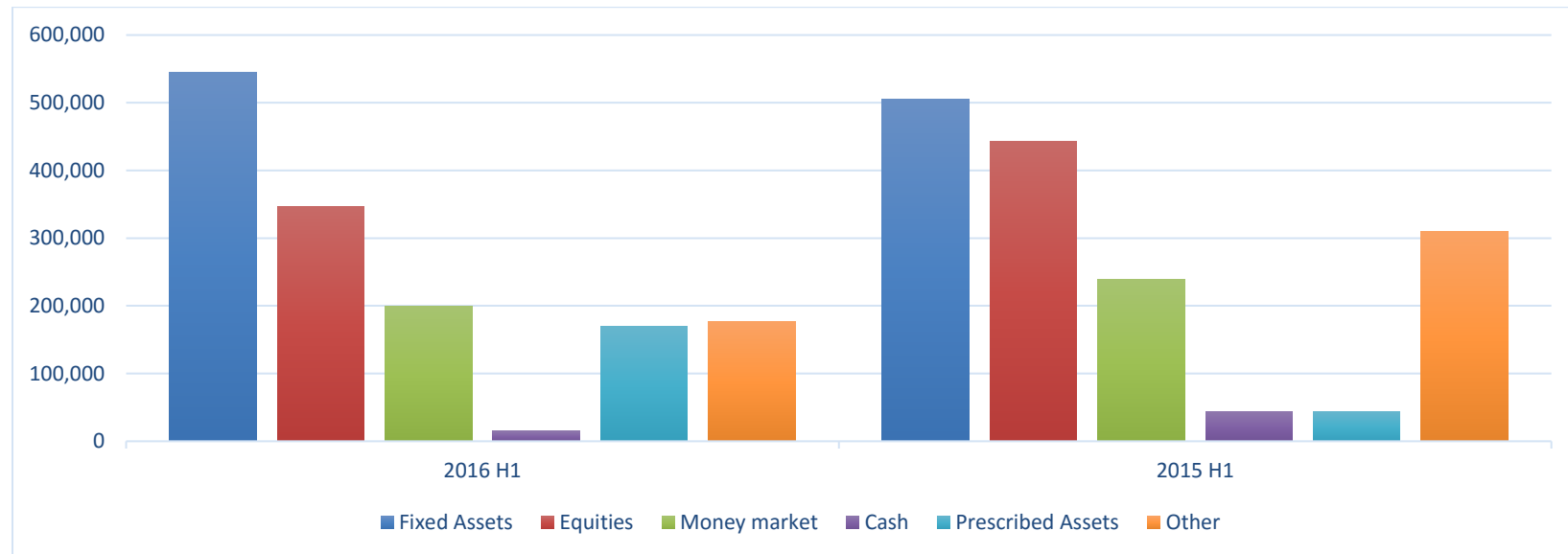
10. Asset Quality

As at 30 June 2016, the life assurance players were invested in properties-38% or \$545million (June 2015:32% or \$505million),equities-\$347 million or 24%(June 2015:28% or \$443 million),money market-\$199million or 14%(June 2015:15% or \$238million), cash assets-\$15million or 1% (June 2015:3% or \$44million) , other assets , \$177million or 12% (June 2015:20% or \$309million) whilst prescribed assets grew from 3% to 12%.Subscription to prescribed papers followed extensive industry engagements as well as imposing statutory penalties on non-compliant players (SeeTable10 and Figure 6,below).

Table 10: Life industry Assets as at 30 June 2016(\$000)

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%
CBZ Life	310	1,500	384	0	0	0	11,641	12,263	5	2,843	460	-84	1,015	1,957	93	144	1,922	1235	15,953	18,102	13
Evolution	9	803	8822	1,258	1,656	32	189	0	-100	121	22	-82	1,434	424	-70	100	300	200	3,111	3,205	3
Econet	0	0	0	0	0	0	202	1,538	661	400	1,563	291	1,491	1,527	2	1,500	1,625	8	3,593	6,253	74
Fidelity	23,812	19,186	-19	8,786	26,692	204	7,881	2,496	-68	432	722	67	19,319	42,513	120	14,907	4,313	-71	75,137	95,922	28
Getsure	0	0	0	0	0	0	0	0	0	0	129	0	0	2,083	0	0	0	0	0	2,212	0
FML	13,322	67,094	404	15,077	12,151	-19	10,613	8,411	-21	3,902	1,493	-62	141,727	9,871	-93	5,519	14,880	170	190,160	113,900	-40
Heritage	787	721	-8	1,278	1,273	0	9	9	0	57	64	12	840	1,900	126	0	0	0	2,971	3,967	34
Nyaradzo	31,080	33,985	9	696	645	-7	14,666	15,686	7	2,681	3,641	36	13,433	26,508	97	3,967	8,724	120	66,523	89,189	34
O.Mutual	415,483	399,873	-4	395,847	286,278	-28	171,108	137,461	-20	32,614	5,531	-83	92,764	50,790	-45	14,242	130,509	816	1,122,058	1,010,442	-10
Zb Life	3,381	1,650	-51	6,978	6,379	-9	3,172	2,825	-11	194	179	-8	33,312	32,781	-2	1,200	2,894	141	48,237	46,708	-3
Zimnat	16,850	20,290	20	12,754	11,799	-7	18,984	18,231	-4	429	1,580	268	4,487	6,209	38	2,286	4,487	96	55,790	62,596	12
Total	505,034	545,102	8	442,674	346,873	-22	238,465	198,920	-17	43,673	15,384	-65	309,422	176,563	-43	43,865	169,654	287	1,583,533	1,452,496	-3

Figure 6: Life industry Assets -ended 30 June 2016



11. Capitalization, Solvency and Liquidity Indicators

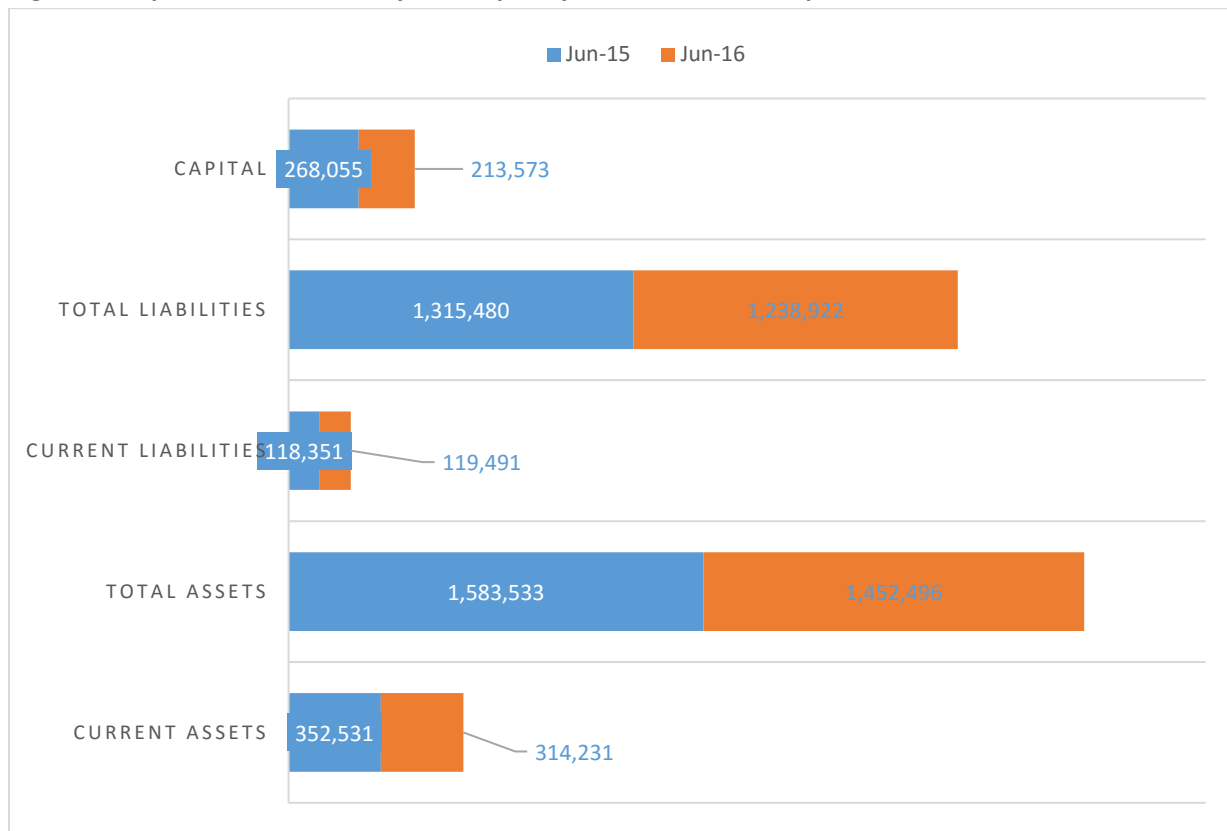
Except for one new player, the industry was adequately capitalized as prescribed by Statutory Instrument 21 of 2013. Further engagements with Getsure are on-going with a view to restore compliancy (see table 6 below).

The industry reported capital to liability and liquid ratios of 17% and 263% respectively (June 2015:20% and 298%) (See Table 11 and Figure 7, below).

Table 11: Capitalization, Solvency and Liquidity Indicators (000)

Co. Name	Current Assets			Current Liabilities			Total Assets		Total Liabilities			Capital (Net Assets)			Capital to liability Ratio (%)			Current Ratio (%)		
	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%
CBZ Life	15,085	15,709	4%	3,603	2,903	-19%	15,953	18,102	4,707	4,332	-8%	11,246	13,770	22	239%	318%	79%	419%	541%	122
Evolution	1,061	163	-85%	629	384	-39%	3,111	3,205	629	384	-39%	2,482	2,821	14	395%	735%	340%	169%	42%	127
Econet	1,547	3,531	128%	221	2,734	1137%	3,593	6,253	221	2,734	1137%	3,372	3,519	4	1526%	129%	1397%	700%	129%	571
Fidelity	35,576	30,450	-14%	11,133	52,641	373%	75,137	95,922	61,632	80,313	30%	13,505	15,609	16	22%	19%	-3%	320%	58%	262
Getsure	0	1,987	0%	0	422	0%	0	2,212	0	422	0%	0	1,790	0	0	424%	0	0%	471%	471
FML	22,613	12,115	-46%	20,779	1,248	-94%	190,160	113,900	121,488	103,533	-15%	68,672	10,367	-85	57%	10%	47%	109%	971	862
Heritage	684	1,775	160%	313	1,219	289%	2,971	3,967	492	1,393	183%	2,481	2,574	4	504%	185%	319%	219%	146%	-73
Nyaradzo	34,498	52,840	53%	7,036	8,831	26%	66,523	89,189	61,144	79,762	30%	5,379	9,426	75	9%	12%	3%	490%	597%	7
O.Mutual	224,184	173,878	-22%	70,361	43,423	-38%	1,122,058	1,010,442	993,870	892,224	-10%	128,188	118,218	-8	13%	13%	0	319%	400%	81
Zb Life	3,927	4,976	27%	1,744	2,480	42%	48,237	46,708	31,456	30,683	-2%	16,781	16,025	-5	53%	52%	-1%	225%	20%	-205
Zimnat	13,356	16,807	26%	2,532	3,206	27%	55,790	62,596	39,841	43,142	8%	15,949	19,454	22	40%	45%	5%	527%	524%	3
Total	352,531	314,231	-11%	118,351	119,491	1%	1,583,533	1,452,496	1,315,480	1,238,922	-6%	268,055	213,573	-20	20%	17%	-3%	298%	263%	-35

Figure 6: Capitalization, Solvency and Liquidity Indicators for the quarter ended 30 June 2016 \$'000



SECTION B: REASSURANCE COMPANIES

1.0 Update on Number of Operational Institutions

This report relates to 2 reinsurance companies.

2.0 Business Written

Table 1 below, shows that reinsurers wrote \$3.5million in net premiums, a 20% decline from \$4.4million reported in the same period last year. This may be a result of reduced effective demand locally and therefore players must increase bias towards regional and international sources of business for enhanced sustenance.

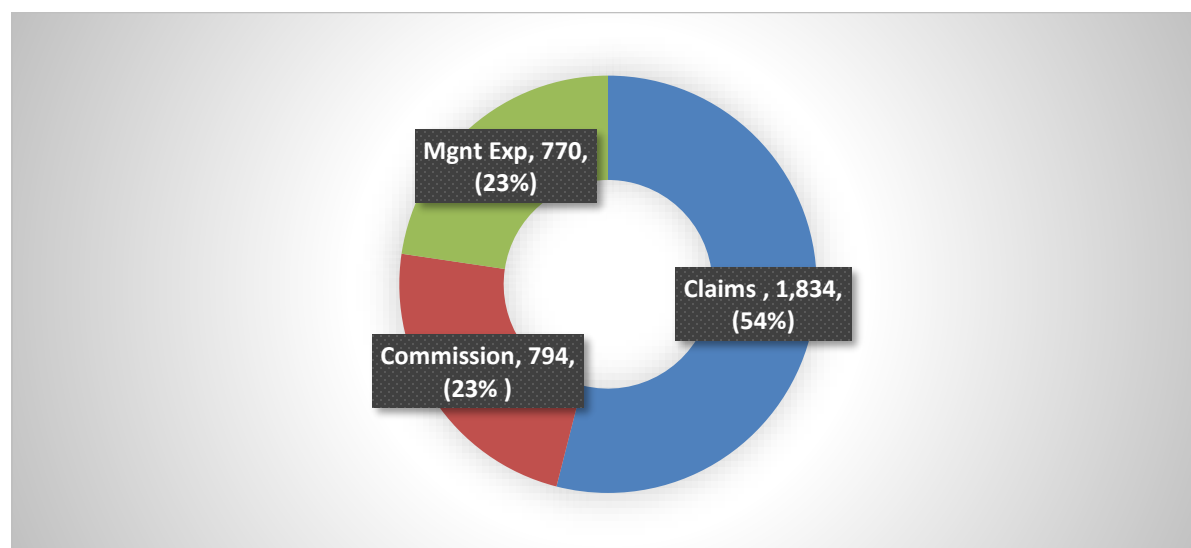
Table 1: Key Performance Indicators for the half year ended 30 June 2016(000)

Item	Baobab Re			FM Re			FBC Re			Total		
	June-15	June-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%
Gross Premium written	2,974	2,164	-27%	2,170	1,593	-27%	0	391	0	5,144	4,148	-19%
Net Premium Written	2,446	1,939	-100%	1,937	1,593	-18%	0	229	0	4,383	3,532	-20%
Net Claims Incurred	502	1,157	130%	1,212	638	-47%	0	39	0	1,714	1,834	7%
Net Commission Incurred	836	495	-41%	463	230	-50%	0	69	0	1,299	794	-39%
Management Expenses	411	412	0%	303	302	0%	0	56	0	714	770	8%
Total Costs	1,749	2,064	18%	1,978	1,170	-41%	0	164	0	3,727	3,398	-9%
Underwriting Profit	697	(125)	-118%	(41)	(423)	932%	0	65	0	656	-483	-174%
Combined Ratio	72%	106%	34%	102%	73%	-29%	0	72%	0	85%	96%	11%

3.0 Earnings

For the current reporting period, total costs incurred were \$3.4million. Claims incurred were 54% or \$1.8million-(June 2015:46% or \$1.7million), Commission 23% or \$0.79million-(June 2015:35% or \$1.3million) and management expenses making up the balance of 23% or \$0.77million (June 2015:19% or \$0.71million) (See Figure 1 below).

Figure 1: Cost Drivers for the Reassurers for the half year ended 30 June 2016(000)



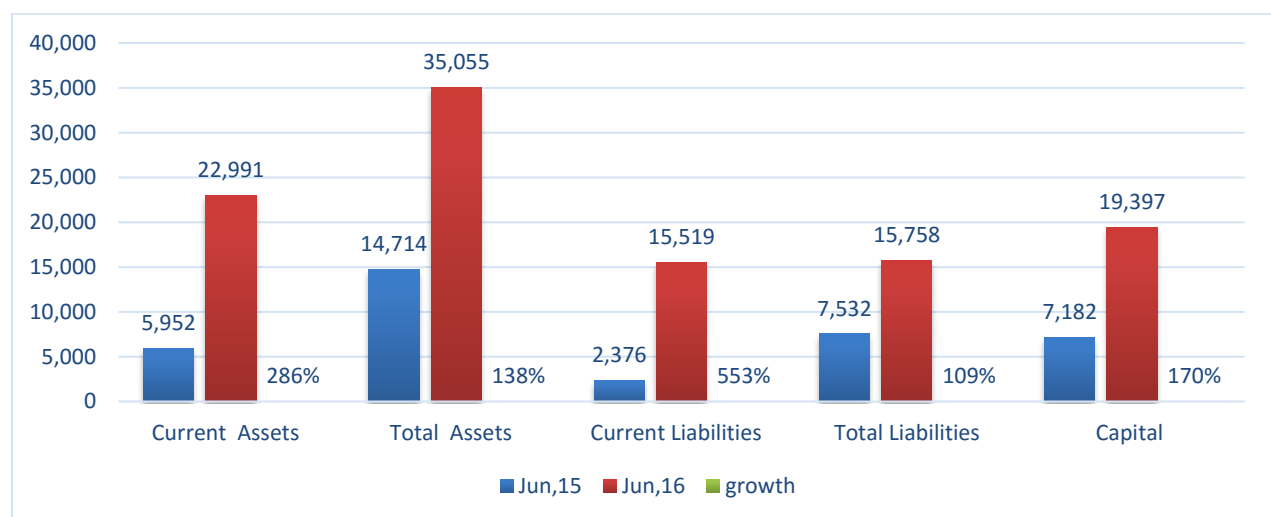
4.0 Capitalization and Solvency

As at the reporting date, the reinsurers were adequately capitalized except FML Life and Health. It however merged with First Mutual Property and Casualty (See Table 2 and Figure 2, below). The players reported capital to liability and liquidity ratios of 123% and 148% signifying strong capacity to meet critical obligations such as claims on demand.

Table 2: Key Capitalization and Solvency Indicators as at 30 June 2016(000)

Item	Baobab Re			FMRe			FBC Re			Total		
	Jun-15	Jun-16	%	Jun-14	Jun-15	%	Jun-15	Jun-16	%	Jun-15	Jun-16	%
Current Assets	4,502	3,622	-20%	1,450	1,516	5	0	17,853	0	5,952	22,991	286%
Total Assets	12,594	11,730	-7%	2,120	2,135	1	0	21,190	0	14,714	35,055	138%
Current Liabilities	1,649	5,790	251%	727	902	24	0	8,827	0	2,376	15,519	553%
Total Liabilities	6,490	5,790	-11%	1,042	1,141	10	0	8,827	0	7,532	15,758	109%
Capital	6,104	5,940	-3%	1,078	1,094	1	0	12,363	0	7,182	19,397	170%
Prescribed Assets	223	402	80%	0	280	0	0	0	0	223	682	206%
Prescribed asset Ratio	2%	7%	5%	0	27%	27	0	0	0	0	0	0
Current Ratio	273%	63%	210%	199%	168%	-39	0	202%	0	151%	148%	-3%
Capital to liability ratio	94%	103%	9%	103%	96%	-7	0	140%	0	95%	123%	28%

Figure 2: Capitalization and Solvency Indicators as at 30 June 2016 (000)



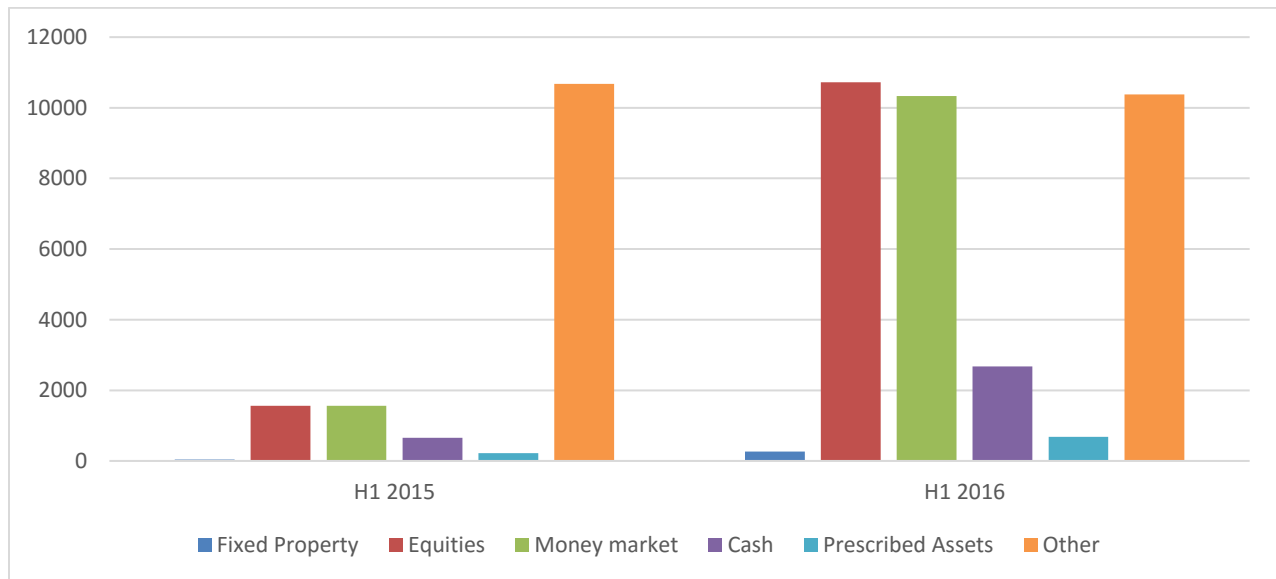
5.0 Asset Quality

As at the reporting date, reinsurers invested in properties-1% or \$0.263 000 (June 2015:0% or \$40 000), equities-\$11million or 31% (June 2015:11% or \$1.6million), money market-\$10million or 29% (June 2015:11% or \$1.6million), cash assets-\$2.7million or 8% (June 2015:4% or \$0.7million), other assets-\$10.4million or 30% (June 2015:73% or \$10.7million) whilst prescribed assets ratio remained flat at 2%. (See Table 3 and Figure 3, below).

Table3: Total Assets for Reassurers as at 30 June 2016

Asset Type	Baobab Re			FM Re			FBC Re			Total		
	Jun-15	Jun-16	%	Jun-15	Jun-16	%	June-15	June-16	%	Jun-15	Jun-16	%
Fixed Property (000)	0	0	0	40	0	-100	0	263	0	40	263	558
Equities (000)	935	8,826	844	630	616	-2	0	1,280	0	1,565	10,722	585
Money Market (000)	748	902	21	811	877	8	0	8,555	0	1,559	10,334	563
Cash (000)	572	152	-73	82	150	83	0	2,370	0	654	2,672	309
Other (000)	10,117	1,447	-86	557	212	-62	0	8,722	0	10,674	10,381	-3
Prescribed Assets	223	402	80	0	280	0	0	0	0	223	682	206
Total Assets (000)	12,595	11,729	-7	2,120	2,135	1	0	21,190	0	14,715	35,054	138

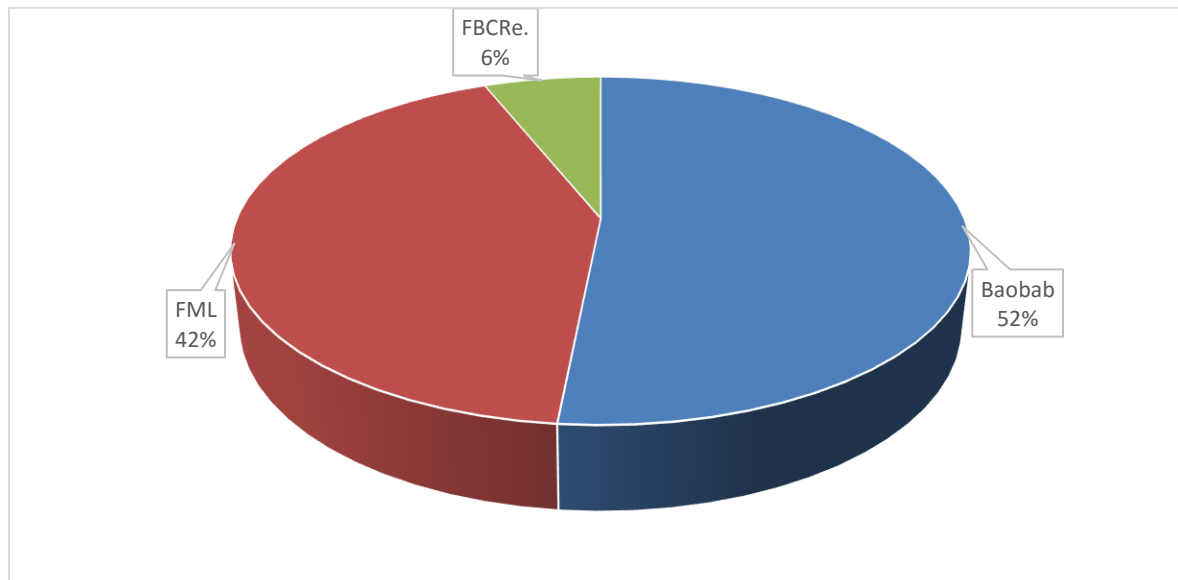
Figure 3: Total Assets for Reassurers for the half year ended 30 June 2016.



6.0 Market Share

For the half year ended 30 June 2016, Baobab Life and Health controlled 52% or \$1,9million worth of Net Premium Written, FMRe Life and Health-42% and lastly FBC Reinsurance with the balance of 6%. (See Figure 4 below).

Figure 4: Market share For Reassurers for the half year ended 30 June 2016(000)



7.0 Circulars and Statutory Instruments

The Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry: -

Table 4: Issued Acts, Circulars and Statutory Instruments for the year ended 30 June 2016

8.0 Prescribed Assets

Statutory Instrument/ Circular	Subject	Date Gazetted
Statutory Instrument 21 of 2016	Insurance and Pensions Commission (Levy) Regulations, 2016	12 February 2016
Statutory Instrument 22 of 2016	Pensions and Provident Funds (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 23 of 2016	Insurance (Amendment) Regulations, 2016	12 February 2016
Statutory Instrument 24 of 2016	Pension and Provident Funds (Amendment) Regulations, 2016 Commutations	19 th February 2016
Circular 1 of 2016	Investment Guidelines For Life and Self-Administered Funds	14 January 2016
Circular 2 of 2016	Benefit Statements To Members of Pension Funds	4 March 2016
Circular 3 of 2016	Licensing manual for entities in the insurance sector	22 June 2016
Circular 4 of 2016	Proposed Micro-Insurance Regulatory Framework	22 June 2016

Circular 5 of 2016	Certificate of proficiency in Trusteeship	27 June 2016
Circular 6 of 2016	Guidelines on Insurance Products for Life, Funeral Assurance and Non-Life Insurance Companies	13 July 2016
Circular 7 of 2016	Training on AML/CFT	22 August 2016

Table 5: List Of Approved Prescribed Asset Paper

Name of the Bond and Issuer	Purpose of the Bond and its salient Features	Update on take ratios
ZB Financial Holdings 2015/2016 Agro bills	The target amount was \$5million at a coupon rate of 5%. Purpose: intended to support the 2015/2016 agricultural season	\$4.716 million was raised from the pension and insurance industry only, indicating an uptake ratio of 94%. Repayments will be made on the 4 th of November 2016 and 19 th of December 2016
FBC & Agribank 2015/2016 Agrobills	The target amount was \$20million at a coupon rate of 10%, Purpose: intended to support the 2015/2016 agricultural season	A total of US\$20million raised from the market, representing 100% uptake of the Bills. Repayments to commence in June.
IDBZ Series 2 2014B (US\$50million)	Bond has a tenor of 5 years at 9% coupon rate. Purpose: Refurbishment of Kariba South Power Station and Repowering of Harare Power Station.	The bank has raised US\$30.75million from the market (i.e. a 62% uptake)
Agricultural Marketing Authority (AMA Bills)	\$50million at a coupon rate of 10.5% p.a Purpose: Finance the purchase of grain by the Grain Marketing Board	Bond Fully repaid in June 2016.

Homelink	Initial bond amount of \$15m. Purpose: Development of stands and construction of housing units	No update at the moment on uptake.
NMB	A \$10 million bond issue, at an indicative coupon rate of 8% for a tenor of 5 years Purpose: Mortgage Loan facility for low income earners	No update at the moment on uptake.
Honde Hydro Power Consolidated	Bond amount of \$5million with a coupon rate of 8.5% to 9%, with a tenor of 5years Purpose: Intended for the construction of Hauna Power Station and to use some of the funds as working capital	Approved on the 13 th of May 2016. No update at the moment on uptake.
IDBZ Series 1 2015B	\$5million bond at a coupon rate of 9.5% with a tenor of 5 years Purpose: To finance housing projects namely New Marimba Park in Harare and Clipshan Views Suburb in Masvingo	Application was approved on the 13 th of May 2016. No update at the moment on uptake.
Agribank and FBC, 2016/2017 Agrobills	Bond amount of US\$20million, coupon rate negotiable on private placement. Purpose: is to finance the 2016/2017 agricultural season.	Application approved on the 27 th of July 2016 and is now open for subscription.
Zimbabwe Electricity Transmission and distribution Company (ZETDC)	Bond amount of \$15million at 7% per annum Purpose: to finance ZETDC Pre-Paid Meters	Application approved on the 27 th of July 2016 and is now open for subscription.

9.0 Conclusion and Outlook

The period under review shows growth momentum for the life assurance industry albeit rising cost outflows. We encourage product innovativeness, prudent underwriting and cost management throughout the value chain in order to promote sustainability of the industry despite the prevailing challenges in the operating environment.